



United States
Attorney's Office
District of Massachusetts



Owner of Three North Shore Restaurants Sentenced to Prison for Tax Fraud Scheme

Thursday, January 16, 2025

For Immediate Release

U.S. Attorney's Office, District of
Massachusetts

Defendant withheld over \$1.5 million in taxes

BOSTON – The owner and operator of three restaurants in Salem, Peabody and Seabrook (N.H.) was sentenced yesterday in federal court in Boston for defrauding the Internal Revenue Service of federal employment taxes and the Massachusetts Department of Revenue of state meals taxes over a six-year period.

John Drivas, 66, of Hampton, N.H., was sentenced by U.S. District Judge Julia E. Kobick to one year and one day in prison, to be followed by one year of supervised release. Drivas was also ordered to pay restitution of \$1,596,775 to the Massachusetts Department of Revenue and \$439,341 to the Internal Revenue Service (IRS), in addition to a \$20,000 fine. In September 2024, Drivas pleaded guilty to five counts of failure to collect and pay over employment taxes owed to the IRS and four counts of wire fraud for state meals taxes he collected from restaurant customers but failed to pay to the state Department of Revenue.

Between January 2016 to October 2022, Drivas was the owner and operator of three restaurants: Red's Sandwich Shop in Salem, Red's Kitchen and Tavern in Peabody and Red's Seabrook in Seabrook, N.H. He was the sole shareholder of the Salem restaurant until he sold it to an employee in September 2022. He was the 100% owner of the Peabody restaurant with his wife and the 52% owner of the Seabrook restaurant with his children.

From at least January 2017 to June 2022, Drivas paid "under-the-table" wages of \$1,496,417 to multiple restaurant employees and did not report those wages to the IRS or pay employment taxes on them. Federal tax law requires employers to withhold from any employee wages an amount for income taxes and other amounts for Social Security and Medicare taxes. Drivas caused more than \$439,000 in employment tax losses.

Drivas also collected the state and local “meals taxes” paid by restaurant customers, which he failed to pay over to the state as required by law. In Massachusetts, all owners and operators of restaurants and bars are required to collect 6.25 sales taxes on meals. Salem and Peabody also require restaurants and bars to collect an additional 0.75% local option meals excise tax. Although Drivas collected the taxes from restaurant customers, he intentionally withheld \$1,596,775 of those taxes from monthly reports and payments owed to the Massachusetts Department of Revenue.

United States Attorney Joshua S. Levy, Thomas Demeo, Acting Special Agent in Charge of the Internal Revenue Service Criminal Investigation, Boston Field Office and Katherine Mulligan, Chief of Investigations for the Insurance Fraud Bureau of Massachusetts made the announcement. Valuable assistance was provided by the Massachusetts Department of Revenue’s Criminal Investigations Bureau. Assistant United States Attorney Victor A. Wild of the Securities, Financial & Cyber Fraud Unit prosecuted the case.

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June 16, 2026



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